a practical impact on respondents' SBS trading activity, the Commission estimates that they do not increase or decrease the burden hours for compliance with the Core Principles that are similar to the remainder of part 37. The changes simply: (1) make modifications to accommodate reserving the definition for a block trade; (2) narrow the scope of an exception relating to package-transactions; (3) automatically declare trades intended to be cleared but not accepted for clearing to be void *ab initio*; (4) permit SBSEFs to contract with DCMs for certain services; and (5) address Commission review of certain actions taken by SBSEFs. None of these changes requires additional record-keeping or reporting burdens (or results in a decrease in record-keeping and reporting obligations). Therefore, the Commission estimates that the per-respondent or aggregate totals of 387 hours and 1,935 hours, respectively.

In addition, the Commission is modifying Rule 825 to make changes to what type of information is required to be submitted in and timing of publication of the daily market data report and to remove certain mentions of block trades because that term will not be defined in Regulation SE at this time. Rule 825 will not require the disclosure of the number of block trades and will require publication of the report as soon as reasonably practicable on the next business day but no later than 7 a.m. (rather than before the beginning of trading) and several mentions of block trades in Rule 825(c) have been removed. Not requiring the disclosure of the number of block trades will have a negligible impact on the reporting burden of preparing the daily market data report. Rule 825 requires the report to contain numerous items. The Commission estimates that eliminating block trades from one of the required items (trade count) will reduce the hours burden for compiling the report by a negligible amount. Similarly, changing the timing of the publication of the report will have no impact on burden hours. The Commission estimates that it will not require a greater or fewer number of hours to compile the report as a result of the change

in timing for publication as it is the same report that is being compiled. Therefore, the Commission continues to estimate a per-respondent and aggregate totals of 387 hours and 1,935 hours, respectively.

As discussed in more detail below, certain SBSEF rules being adopted in Regulation SE are derived from other parts of the CFTC's rules (e.g., part 40) and the burdens for those rules will be based on the appropriate burden hours of the corresponding CFTC part. For reference, the following table lists all sections of part 37 and the corresponding SBSEF rule. Please see above for more detailed descriptions of a particular SBSEF rule.

CFTC part 37 section (387 aggregate burden hours per SEF not including § 37.3 (registration)	Topic	Analogous SBSEF Rule # (387 aggregate burden hours per SBSEF not including Rule 803 (registration) and certain other rules not modeled on part 37 rules (discussed separately in the following sections)
37.1	Scope	800
37.2	Applicable provisions	801
37.4	Procedures for listing products	810
37.5	Compliance	811
37.6	Enforceability	812
37.7	Prohibited use of data	813
37.8	Entities operating as SEFs and DCMs	814
37.9	Methods of execution	815
37.10	Process to make swaps available for trade	816
37.11	Reserved section	not applicable
37.12	Trade execution compliance schedule	817
37.100	CP 1 (compliance with Core Principles)	818 (CP1)
37.200 through 37.206	CP 2 (compliance with rules)	819 (CP2)
37.300 through 37.301	CP 3 (manipulation)	820 (CP3)
37.400 through 37.408	CP 4 (monitoring of trading and trade processing)	821 (CP4)
37.500 through 37.504	CP 5 (ability to obtain information)	822 (CP5)

37.600 through 37.601	CP 6 (position limits)	no equivalent requirement in the SEA; CP numbering diverges after this point
37.700 through 37.703	CP 7 (financial integrity of transactions)	823 (CP6)
37.800 through 37.801	CP 8 (emergency authority)	824 (CP7)
37.900 through 37.901	CP 9 (publication of trading information)	825 (CP 8)
37.1000 through 37.1001	CP 10 (recordkeeping and reporting)	826 (CP 9)
37.1100 through 37.1101	CP 11 (anti-trust)	827 (CP10)
37.1200	CP 12 (conflicts of interest)	828 (CP 11)
37.1300 through 37.1307	CP 13 (financial resources)	829 (CP 12)
37.1400 through 37.1401	CP 14 (system safeguards)	830 (CP 13)
37.1500 through 1501	CP 15 (CCO)	831 (CP 14)
Appendix A (Form SEF)	Form SEF	Form SBSEF[a]
Appendix B	Guidance relating to Core Principles	guidance incorporated throughout rules 818 through 831

[a] The burdens of registering using Form SBSEF are discussed in the previous section.

3. Aggregate Burdens for Rules Modeled on CFTC Part 40 Rules

A number of rules contained in Regulation SE are modeled on rules in part 40 of the CFTC's rules, including §§ 40.2 (Listing products for trading by certification), 40.3 (Voluntary submission of new products for Commission review and approval), 40.5 (Voluntary submission of rules for Commission review and approval), and 40.6 (Self-certification of rules). The Commission is adopting Rules 804, 805, 806, and 807—which are closely modeled on §§ 40.2, 40.3, 40.5, and 40.6, respectively—in order to harmonize with the procedures that the CFTC applies to SEFs with respect to establishing new rules and listing products. In addition, Rule 808 is modeled after § 40.8 and provides that certain information in a Form SBSEF application or a rule or product filing would be made publicly available, unless confidential treatment is obtained pursuant to Rule 24b-2. Rule 809 is loosely modeled after § 40.12 and sets forth a mechanism for a tolling of the period for consideration of a product pending the issuance by the SEC and the CFTC of joint interpretation clarifying which agency has jurisdiction over the product.

(a) Rule and product filing processes for SBSEFs

Rules 804 and 805 require an SBSEF to submit filings for new products that it seeks to list. Under Rules 806 and 807, an SBSEF is required to submit rule filings for new rules or rule amendments, including changes to a product's terms or conditions. The Commission's estimate regarding the burdens that an SBSEF would incur to comply with the rule and product filing processes in Rules 804, 805, 806, and 807 is informed by the estimates made by the CFTC for compliance with §§ 40.2, 40.3, 40.5, and 40.6, the burden hours for which have been approved by OMB.[1053] The Commission is estimating a total of five SBSEF respondents. The Commission estimates that the aggregate ongoing annual hourly burden for all SBSEFs to prepare and submit rule and product filings under Rules 804, 805, 806, and 807 (including the cover sheet[1054]) would be 300 hours.

Based on the CFTC's experience with SEFs, the Commission estimates that on average an SBSEF would incur an ongoing annual burden of 2 hours of work per rule or product filing. Although the CFTC estimated an average of 100 responses per year per respondent,[1055] an estimate of 30 responses is appropriate given the more limited scope of the SBS market, as

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1053 *See* 75 FR 67282 (Nov. 2, 2010) (CFTC proposal to amend 17 CFR 40.2 through 40.5); OMB, Supporting Statement for Information Collection Renewal: OMB Control Number 3038-0093, Attachment A (July 10, 2020), *available at* https://omb.report/icr/202005-3038-001/doc/101274002.pdf (noting the estimated average number of hours to burden hours report is 2 hours, and the number of annual responses from each entity is 100).

1054 Each of the filings that is required by Rules 804 through 807 would have to include a submission cover sheet that is modeled on the cover sheet and instructions used by SEFs in conjunction with analogous filings with the CFTC, with the submitting entity checking the appropriate box to indicate which type of the filing it is making. Any burden hours attributable to a respondent completing this cover sheet, which is an integral part of the filing, are not estimated separately from the paperwork burden of the substantive filing. Instead, they are contained within the aggregate burden hours estimate for rule and product filings pursuant to Rules 804 through 807, which are based upon the CFTC's estimates. *See supra* note 1053.

1055 *See supra* note 1053.

opposed to the swaps market. This would result in a total estimated ongoing annual burden of 60 hours per respondent[1056] and 300 hours for all the respondents annually.[1057]

As noted above, the Commission is stating in this release that, where a respondent is seeking to list a new category of product of which there would be multiple specific products based on different underlying securities, separate submissions under Rule 804 with respect to each underlying security would not be required, but the submission made would have to address why each of the included underlying securities meets the relevant standards required by Regulation SE. "Blanket" certifications—e.g., a single submission for all equity total return security-based swaps to be listed—would not meet the requirements of Rule 804. This flexibility does not result in any increase or decrease in estimated burden hours. Any time savings from the ability to combine submissions under Rule 804 is likely to be substantially, if not fully, offset by the burden of drafting the explanation of why each of the included underlying securities meets the relevant standards required by Regulation SE. Therefore, the changes do not increase or decrease the burden hours for compliance with the rules pertaining to new product filings under Rules 804 and 805. Indeed, as described above, the per-respondent estimate for the requirements related to the rule and product filing processes of 60 hours was an estimate informed by the CFTC's similar provisions and was meant to encompass the combined burdens that an SBSEF would incur to comply with the rule and product filing processes in Rules 804, 805, 806, and 807. Therefore, the Commission continues to estimate the per-respondent and aggregate totals to be 60 hours and 300 hours, respectively.

[1056] 60 hours = 30 (number of responses per year per respondent) x 2 hours (burden per response).

[1057] 300 hours = 60 hours (annual burden per respondent pursuant to Rules 804, 805, 806, and 807) x 5 (number of respondents).

(b) Burdens related to rules modeled after other part 40 rules

(i) Rule 802

Certain definitions contained in Rule 802 are modeled after provisions of part 40. These definitions do not result in any paperwork burden.

(ii) Rule 809

Rule 809 is loosely modeled on § 40.12 of the CFTC's rules and would apply when an SBSEF wishes to list a product and it is unclear whether the product should be classified as an SBS subject to the jurisdiction of the SEC or a swap subject to the jurisdiction of the CFTC. Rule 809 provides that a product certification made by an SBSEF pursuant to Rule 804 shall be stayed, or the review period for a product that has been submitted for Commission approval by an SBSEF pursuant to Rule 805 shall be tolled, upon a request, made pursuant to Rule 3a68-2 under the SEA[1058] by the SBSEF, the SEC, or the CFTC, for a joint interpretation of whether the product is a swap, SBS, or mixed swap.

Rule 809 itself does not include a process for determining whether the SEC or CFTC has jurisdiction over a product. Rule 809 would enable the SEC to stay or toll the product filing while the SEC and CFTC consider a joint interpretation under existing SEA Rule 3a68-2, the burden hours of which have already been approved by OMB.[1059] The only burden imposed on an SBSEF under Rule 809 would be checking a box on the submission cover sheet when the SBSEF intends to request a joint interpretation from the Commission and the CFTC pursuant to SEA

[1058] 17 CFR 240.3a68-2.

[1059] OMB recently approved an extension without change of the collection for Rule 3a68-2. *See* Supporting Statement for the Paperwork Reduction Act New Information Collection Submission for Rule 3a68-2 (Interpretation of Swaps, Security-Based Swaps, and Mixed Swaps) and Rule 3a68-4(c) (Process for Determining Regulatory Treatment for Mixed Swaps), OMB Control Number 3235-0685, Supporting Statement A (Dec. 23, 2021), *available at* https://omb.report/icr/202112-3235-018/doc/117438500.pdf.

Rule 3a68-2.[1060] The Commission estimates that each such request would impose a burden of 0.25 hours. Furthermore, the Commission estimates that each SBSEF would make one such request per year.[1061] Accordingly, the aggregate ongoing annual burden for all SBSEFs to comply with Rule 809 would be 1.25 hours.[1062] This work, should it be required, is likely to be conducted internally.

4. Aggregate Burdens for Rules Modeled After CFTC Rules Other than Parts 37 and 40

Adopted rules similar to rules of the CFTC other than part 37 and part 40 are Rules 811(d), 816(e), 819(h), 819(i), 819(j), 819(k), 826(f), and 834. These rules generate various categories of burdens for SBSEFs or market participants.

(a) Rule 811(d)

Section 1.60 of the CFTC's rules requires a SEF to provide the CFTC with copies of any legal proceeding to which it is a party, or to which its property or assets is subject.

Paragraph (d) of Rule 811 adapts paragraphs (a), (c), and (e) of § 1.60 to apply to SBSEFs. Paragraph (d)(1) requires an SBSEF to provide the Commission a copy of the complaint, any dispositive or partially dispositive decision, any notice of appeal filed concerning such decision, and such further documents as the Commission may thereafter request filed in any material legal proceeding to which the SBSEF is a party or to which its property or assets are

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1060 *See supra* section IV.E.

1061 The establishment of a registration regime and listing procedures for SBSEFs could affect the distribution, but likely not the total number, of requests for joint interpretations under Rule 3a68-2 of the SEA. SBS products may be developed in the bilateral market before they are listed on SBSEFs, and there are incentives to resolving jurisdictional issues before they can develop traction in the market. Accordingly, requests for a joint interpretation under Rule 3a68-2 could occur before such products are listed by an SBSEF, and such requests are already considered in the approved PRA burden estimates for Rule 3a68-2.

1062 1.25 hours = 1 (number of responses per year per respondent) x 0.25 hours (burden per response) x 5 (number of respondents).

subject. Paragraph (d)(2) requires an SBSEF to provide notices of similar actions against any officer, director, or other official of the SBSEF from conduct in such person's capacity as an official of the SBSEF alleging violations of certain enumerated actions.

The Commission estimates that an SBSEF would provide the information required by Rule 811(d) once per year, and that each submission would take 0.25 hours. Thus, the Commission estimates that the aggregate ongoing annual burden for all SBSEFs to comply with requests for documents or information pursuant to Rule 811(d) would be 1.25 hours.[1063] The Commission is basing its estimate on the CFTC estimate included in its submission to OMB for § 1.60 of the CFTC's rules, for which the CFTC estimated that each of the 97 entities to which the rule applies makes, on average, one submission of documents to the Commission per year. The CFTC further estimated that the time required to prepare one submission is approximately 0.25 hour, totaling 24.25 hours (97 x 0.25) annually.[1064]

For PRA purposes, it is reasonable to apply the CFTC's approach to Rule 811(d).[1065] This work, should it be required, is likely to be conducted internally.

(b) Rule 819(h)

Paragraph (h) of Rule 819 generally prohibits persons who are employees of an SBSEF, or who otherwise might have access to confidential information because of their role with the SBSEF, from improperly utilizing that information. Rule 819(h) is modeled on § 1.59 of the

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1063 1 (number of responses per year per respondent) x 0.25 hours (burden per response) x 5 (number of respondents) = 1.25 hour.

1064 *See* OMB, Supporting Statement for New and Revised Information Collections: OMB Control Number 3038-0033 (Oct. 29, 2021), *available at* https://omb.report/icr/202110-3038-001/doc/115991000.pdf.

1065 In its preliminary estimates, the Commission based its burden hour calculations upon CFTC 2018 submission to OMB. The Commission is now updating the numbers to reflect numbers from the 2021 submission to OMB. The result is the per response burden has increased from .2 hours to .25 hours. *See* OMB, Supporting Statement for New and Revised Information Collections: OMB Control Number 3038-0033 (Oct. 29, 2021), *available at* https://omb.report/icr/202110-3038-001/doc/115991000.pdf.

CFTC's rules. The Commission does not estimate that this rule would result in a paperwork burden.

(c) Rule 819(i)

Paragraph (i) of Rule 819 bars persons with specified disciplinary histories from serving on the governing board or committees of an SBSEF and impose certain other duties on the SBSEF associated with that fundamental requirement. Rule 819(i) is modeled on § 1.63 of the CFTC's rules.

The Commission estimates that an SBSEF would provide the information required by Rule 819(i) once per year, and that each submission would take 79.83 hours. Thus, the Commission estimates that the aggregate ongoing annual burden for all SBSEFs to comply with Rule 819(i) would be 399.15 hours.[1066] The Commission is basing this estimate on the estimate the CFTC included in its submission to OMB for its adoption of § 1.63, where the CFTC estimated that each respondent would make, on average, one such submission to the CFTC per year. The CFTC further estimated that the time required to prepare one submission is approximately 79.83 hours.[1067]

For PRA purposes, it is reasonable to apply the CFTC's approach to Rule 819(i), and this work is likely to be conducted internally.

(d) Rule 819(j)

Paragraph (j) of Rule 819 is modeled on § 1.67 of the CFTC's rules. Rule 819(j)(1) provides that, upon any final disciplinary action in which an SBSEF finds that a member has

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[1066] 1 (number of responses per year per respondent) x 79.83 hours (burden per response) x 5 (number of respondents) = 399.15 hours.

[1067] *See* CFTC, *Service on Self-Regulatory Organization Governing Boards or Committees by Persons with Disciplinary Histories* (Feb. 27, 1990), 55 FR 7884, 7890 (Mar. 6, 1990) (final rule PRA for § 1.63).

committed a rule violation that involved a transaction for a customer, whether executed or not, and that resulted in financial harm to the customer, the SBSEF must promptly provide written notice of the disciplinary action to the member.

The Commission estimates that an SBSEF would need 0.5 hours to prepare a notice and provide it to a member. This estimate is based on a previous Commission estimate for the time that it would take to prepare and submit a simple notice.[1068] The Commission estimates that these notices would occur once per year at each SBSEF, resulting in an aggregate ongoing annual burden to comply with Rule 819(j) of 2.5 hours.[1069] This work, should it be required, is likely to be conducted internally.

(e) Rule 819(k)

Paragraph (k) of Rule 819 requires non-U.S. persons who trade on an SBSEF to have an agent for service process, which could be an agent of its own choosing or, by default, the SBSEF. Rule 819(k) is modeled on provisions of § 15.05 of the CFTC's rules that apply to SEFs. The Commission does not estimate that this rule would result in a paperwork burden.

(f) Rule 826(f)

Rule 826(f) is modeled on § 1.37(c) and requires an SBSEF to keep a record in permanent form, which shall show the true name, address, and principal occupation or business of any non-U.S. member that executes transactions on the SBSEF and must, upon request,

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[1068] Rule 819(j) does not address any of the requirements or process concerning taking final disciplinary actions; it merely requires that a notice be provided. A provision of Regulation SCI, Rule 1000(b)(4)(i), also requires providing a simple notice and the Commission estimated that it would take 0.5 hours to prepare and such a notice. *See Regulation Systems Compliance and Integrity; Final Rule*, SEA Release No. 73639 (Nov. 19, 2014), 79 FR 72251, 72381 (Dec. 5, 2014).

[1069] 2.5 hours (0.5 hours of in-house counsel time) x (1 responses per year) x (5 respondents). The once per year estimate is based on a previous CFTC estimate included in its submission to OMB for § 1.67 along with other rules.